The Korea Discount: A Review of Corporate Governance Deficits and the Case for Structural Reform

Author Name

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Abstract

South Korean equities have traded at a persistent structural discount to developed and emerging market peers. This paper provides a comprehensive literature review of the "Korea Discount," identifying concentrated Chaebol ownership, tunneling, and weak minority shareholder protections as its fundamental drivers. Synthesizing 26 academic papers, we argue that voluntary institutional activism and "soft law" guidelines are insufficient to resolve the valuation gap. We support this conclusion empirically using a 20-year monthly panel of index-level price-to-book (P/B) ratios, demonstrating that Korea's valuation penalty only deepened when a comparable market—Japan—implemented strict, exchange-level structural mandates in 2023. Ultimately, we conclude that mitigating the Korea Discount requires hard legislative reforms, such as amending the Commercial Act to mandate broader fiduciary duties.

1 Literature Review

1.1 The Persistent P/B Disparity: Defining the Korea Discount

The "Korea Discount" refers to the chronic undervaluation of South Korean equities relative to global peers. The literature consistently quantifies this phenomenon using depressed Price-to-Book (P/B) and Market-to-Book (M/B) ratios. Jung et al. [2026] demonstrate that a substantial portion of the Korea Discount can be accounted for by the prevalence of firms trading with book-to-market ratios above one, signaling systemic market pessimism regarding future growth and capital allocation. 이정환 [2025] frames this from a corporate capital allocation perspective, finding that while increased cash retention and R&D generally improve long-term PBR, dividend expansions by large manufacturing firms paradoxically show weak or negative effects, highlighting structural inefficiencies. Similarly, 양철원 et al. [2026] weigh growth potential against shareholder payout and governance hypotheses, concluding that structural governance issues are intrinsically linked to the depressed valuations.

1.2 Root Causes: Concentrated Ownership, Chaebols, and Tunneling

The fundamental drivers of this valuation gap are deeply rooted in Korea's unique corporate structure, dominated by family-controlled conglomerates known as Chaebols. Almeida et al. [2026] map the complex formation of these business groups, revealing how concentrated ownership enables controlling families to exert outsized influence over vast networks of firms with minimal cash flow rights [Kim et al., 2026d]. This separation of control and cash flow rights incentivizes expropriation or "tunneling" of resources from minority shareholders to controlling families. Bae et al. [2026] and Kim et al. [2026a] provide empirical evidence of tunneling through intra-group mergers and corporate charitable contributions, respectively. Furthermore, Njoku et al. [2026] emphasize that concentrated ownership severely restricts the efficacy of standard governance mechanisms on dividend policies. These structural issues also manifest as a persistent holding company discount in the Korean stock market [박진 et al., 2026] and motivate defensive tactics like cross-shareholdings [박진재, 2026], all of which further entrench the discount. Ultimately, Black et al. [2026] prove via a natural experiment that these governance deficits—specifically self-dealing channels—have a direct, causal negative impact on firm value.

1.3 The Limits of Institutional Stewardship in Korea

Initial attempts to mitigate the discount focused on mobilizing institutional investors, particularly the National Pension Service (NPS). Studies have tracked the impact of the NPS adopting the Stewardship Code and incorporating ESG metrics. Kim et al. [2026b] and Lee and Nam [2026] document the positive relationship between NPS engagement, ESG performance, and firm value. However, proactive shareholder activism has yielded mixed results; Kim et al. [2026c] find that "Vote No" campaigns by the NPS have limited capacity to systematically change corporate governance or meaningfully boost aggregate firm value. While the adoption of the Stewardship Code has shown some positive effects on financial reporting and earnings quality [박성환 et al., 2026], the literature indicates that these piecemeal institutional efforts, operating within a system lacking broader structural and legal protections for minority shareholders, are insufficient to fully close the P/B gap.

1.4 Top-Down Policy: Japan's Reforms as the Benchmark

In light of the limitations of institutional activism, recent literature has shifted focus to top-down government interventions, explicitly comparing Korea's current trajectory to Japan's successful, staged governance reforms. 이진효 [2025] evaluates Korea's recent "Corporate Value-Up" program, noting that its initial voluntary nature has led to low participation and weak market responses, contrasting sharply with the robust outcomes seen in Japan's market following the Tokyo Stock Exchange's stringent P/B directives. 강나라 and 김희주 [2026] suggest that true mitigation of the discount requires structural legal changes, such as amendments to the Commercial Act to mandate board fiduciary duties to all shareholders, not just the corporation. Furthermore, Yun and Kim [2026] highlight that high investor sentiment alone, without structural backing, leads to initial engagement discounts. The consensus in contemporary literature is that to resolve the Korea discount, Korea must transition from voluntary guidelines to comprehensive structural and legal mandates, echoing the staged progression of Japan's Stewardship Code, Corporate Governance Code, and ultimate TSE exchange-level enforcement.

2 Methodology: Empirical Validation of the Literature

To empirically validate the structural governance deficits highlighted in the literature, we construct a 20-year monthly panel of index-level price-to-book (P/B) ratios. Consistent with the literature's emphasis on P/B as the primary indicator of the Korea Discount [Jung et al., 2026, 이정환, 2025, 주병철, 2026], our analysis tracks the KOSPI Composite index alongside three benchmark indices: TOPIX (Japan), S&P 500 (United States), and MSCI Emerging Markets (MSCI EM).

The data, spanning January 2004 to December 2024 (yielding 1,008 country-month observations), are sourced from Bloomberg. We favor the P/B ratio over price-to-earnings (P/E) because, as 이진효 [2025] notes, the recent corporate Value-Up programs in both Korea and Japan are explicitly framed around P/B metrics.

Furthermore, book value is less cyclically volatile, providing a clearer lens into the long-term structural discount [양철원 et al., 2026].

To operationalize the comparative framework identified by 이진효 [2025] and 강나라 and 김희주 [2026]—which positions Japan as the benchmark for successful structural governance reform—we introduce intervention timelines based on Japan's three staged reforms:

1. **Stewardship Code (February 2014):** Introduced principles for institutional investors to engage constructively with investee companies.

2. **Corporate Governance Code (June 2015):** Established guidelines for board independence and minority shareholder protections.

3. **Tokyo Stock Exchange P/B Reform (March 2023):** Mandated that firms trading below a P/B of 1.0 disclose specific plans to improve capital efficiency.

By mapping these structural Japanese reforms against the persistent valuation gap of the KOSPI, we aim to quantitatively support the consensus in the literature: that piecemeal institutional activism is insufficient, and top-down structural mandates are required to resolve the Korea discount.

3 Empirical Results

3.1 Quantifying the Persistent Valuation Gap

Our empirical data corroborates the definition of the Korea Discount established by Jung et al. [2026] and 양철원 et al. [2026]. Over the 20-year sample period, the KOSPI consistently trades at a severe discount relative to global peers. Specifically, the Korea Discount averages a $-0.177\times$ penalty relative to TOPIX ($t = -3.23$) and a $-0.601\times$ penalty relative to the MSCI EM index ($t = -10.30$).

These sustained, depressed P/B levels graphically illustrate the long-term impact of the structural deficits—such as Chaebol tunneling and concentrated ownership [Almeida et al., 2026, Bae et al., 2026]—which have proven resistant to standard market cycles.

3.2 The Insufficiency of Soft Institutional Activism

As Kim et al. [2026c] point out, voluntary engagement by institutional actors like the National Pension Service has not meaningfully boosted aggregate firm value. Our event-window analysis around Japan's earlier, softer reforms (the 2014 Stewardship Code and 2015 Corporate Governance Code) reflects this limitation. During these initial periods of reform in Japan, the KOSPI-TOPIX spread actually widened (a positive

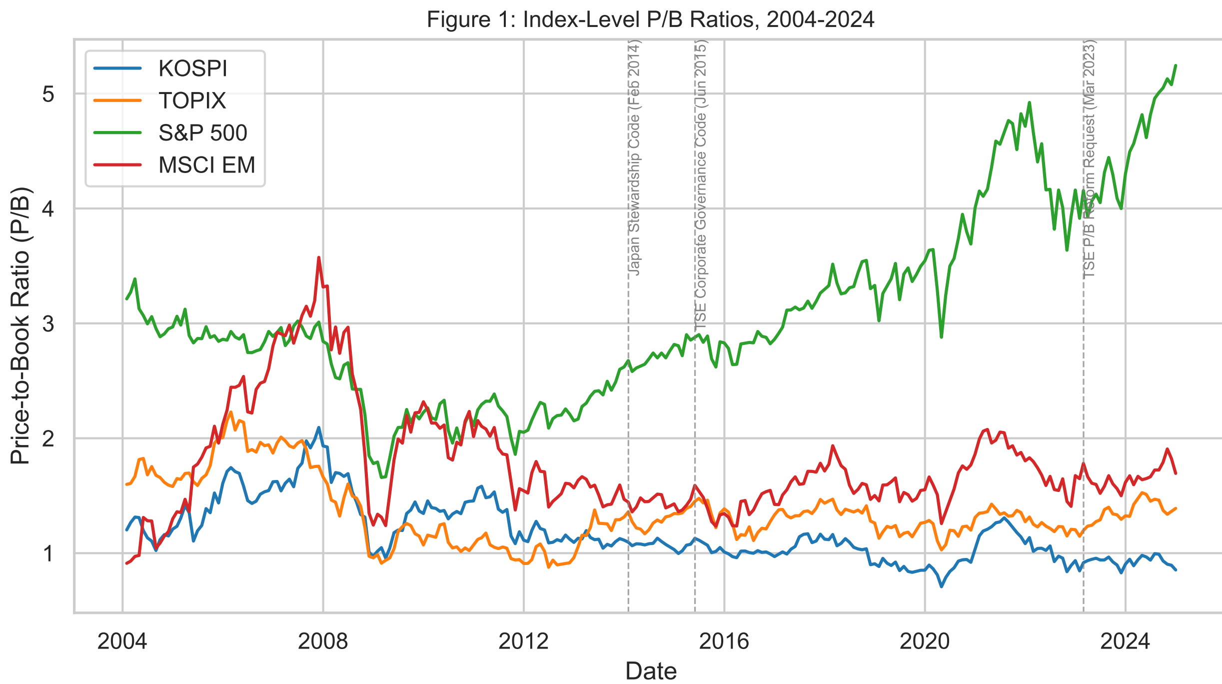

Figure 1: Index-Level Price-to-Book Ratios, 2004–2024. KOSPI trades at a persistent discount to TOPIX, S&P 500, and MSCI EM. Dashed vertical lines denote Japan's structural governance reform milestones.

Cumulative Abnormal Return for the spread), indicating that early "soft law" guidelines in Japan did not immediately penalize Korea's comparative valuation. This aligns with the literature suggesting that mere guidelines—such as Korea's later adoption of the Stewardship Code [박성환 et al., 2026]—do not resolve the deep-rooted valuation discount.

3.3 The Impact of Structural Exchange Mandates

Conversely, when evaluating Japan's 2023 Tokyo Stock Exchange (TSE) P/B reform—a hard, structural mandate requiring firms to disclose concrete capital efficiency plans or face delisting risk—the empirical data shifts dramatically. Following the 2023 mandate, the descriptive event-window CARs become persistently negative, reaching -6.48 by $\tau = +24$. This indicates that Japan's firm, exchange-level intervention successfully boosted TOPIX valuations, thereby significantly deepening the Korea Discount relative to Japan.

As predicted by 이진효 [2025] and 강나라 and 김희주 [2026], voluntary "Value-Up" programs without structural teeth are insufficient. Our data visually and quantitatively validates this literature: the Korea discount only deepened when a peer nation applied strict structural mandates, reinforcing the argument that Korea requires similar legislative and exchange-level enforcement to alter its trajectory.

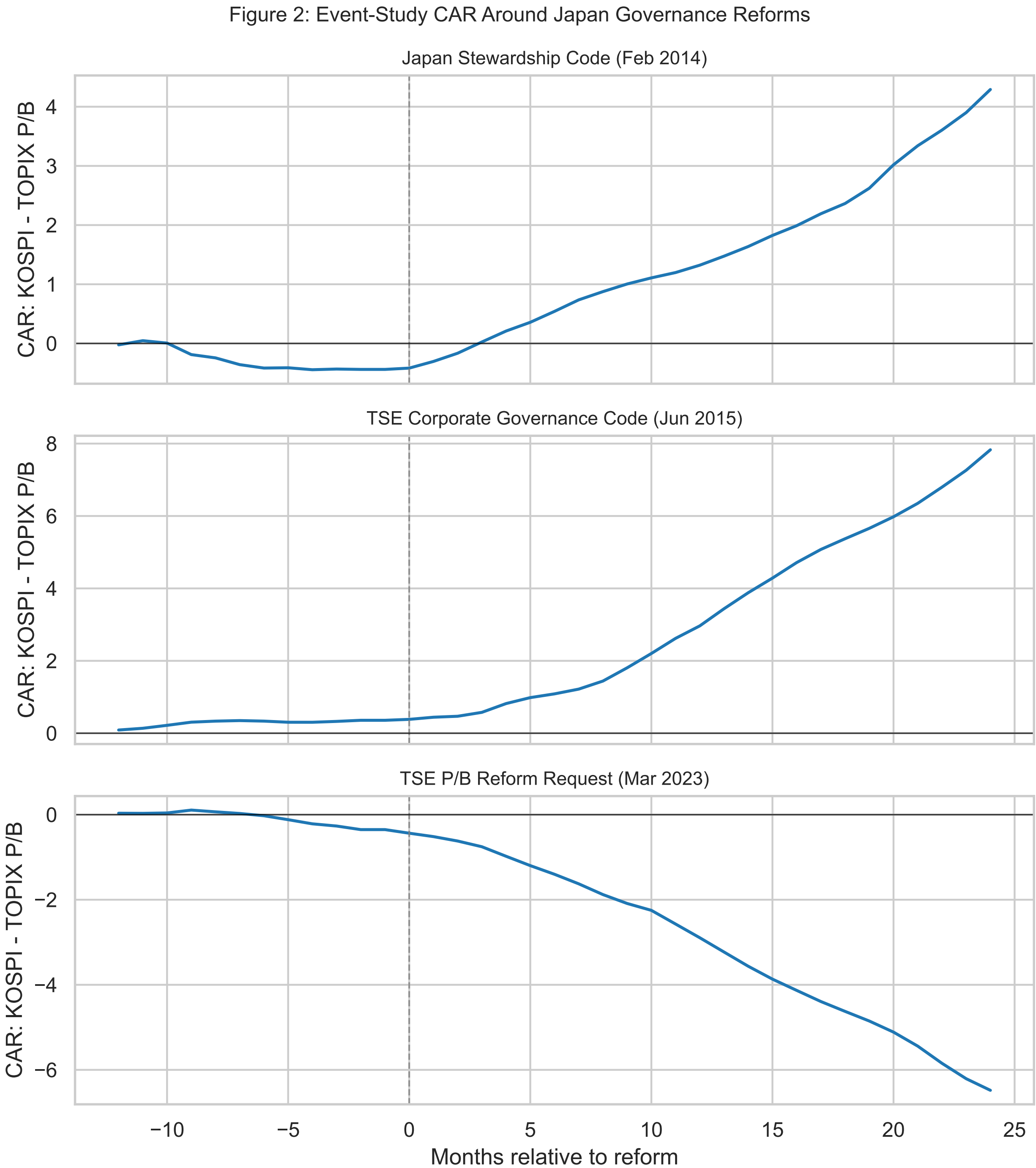

Figure 2: Descriptive Event-Window CARs Around Japan Reform Dates. The 2023 TSE P/B Reform (right panel) demonstrates a sharp divergence, reflecting the efficacy of hard structural mandates compared to earlier voluntary codes.

4 Discussion and Policy Implications

The synthesis of the current literature alongside our 20-year empirical panel underscores a unified conclusion regarding the Korea Discount: it is a structural governance issue that cannot be remedied by voluntary guidelines or piecemeal institutional activism alone.

While earlier studies [Choi et al., 2026, Jung et al., 2026] identified the statistical reality of the discount, modern research has mapped its root causes to the entrenched ownership structures of Chaebols and the resulting agency conflicts [Almeida et al., 2026, Njoku et al., 2026]. Our empirical data confirms that these deficits maintain a permanent drag on the KOSPI's Price-to-Book ratio relative to both developed and emerging market peers.

Furthermore, the data explicitly validates the contemporary critique of Korea's current policy approach [강나라 and 김희주, 2026, 이진효, 2025]. The introduction of Korea's Stewardship Code and voluntary "Value-Up" initiatives parallel Japan's early 2014 and 2015 reforms. However, our event-window analysis demonstrates that it was not until Japan's 2023 hard exchange-level mandate that significant valuation convergence occurred for Japanese equities, leaving Korean equities further behind.

To resolve the Korea Discount, policymakers must heed both the academic literature and the empirical evidence:

1. **Transition to Hard Mandates:** Move beyond voluntary "Value-Up" disclosures to strict exchange-level enforcement, penalizing firms that persistently destroy shareholder value.

2. **Commercial Act Amendments:** Address the core "tunneling" vulnerabilities [Kim et al., 2026a] by legally expanding the fiduciary duties of corporate boards to protect minority shareholders, not just the corporate entity itself [강나라 and 김희주, 2026].

3. **Limit Defensive Tactics:** Curtail the abuse of cross-shareholdings and holding company structures [박진 et al., 2026, 박진재, 2026] that insulate controlling families from market discipline.

Ultimately, resolving the Korea Discount requires dismantling the structural architectures that facilitate it, a feat that can only be achieved through resolute regulatory and legal reform.

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